Ellery Partners

Transaction services | Financial due diligence

Project Coastline
Financial due diligence

Banksia Health Group: acquisition of Seabreeze Care homes

Prepared for: Coolabah Infrastructure Partners and the senior lenders

Reference: EP-FDD-2026-31

Date: 30 September 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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1. Quality of earnings

We have reviewed the reported FY25 EBITDA of Banksia and the Seabreeze homes. After normalising adjustments, we assess pro forma FY25 EBITDA of the combined group at A$71.0M, before synergies.

A$M	Banksia	Seabreeze homes	Combined
Reported EBITDA (pre-AASB 16)	51.2	25.1	76.3
Owner salaries and related-party costs	-	(1.4)	(1.4)
One-off agency staff credit	-	(1.3)	(1.3)
Government grant (non-recurring)	(2.6)	-	(2.6)
Normalised EBITDA	**48.6**	**22.4**	**71.0**

Table 1. Normalised EBITDA, FY25

Figure 1. Pro forma EBITDA bridge, FY25 (A$M)

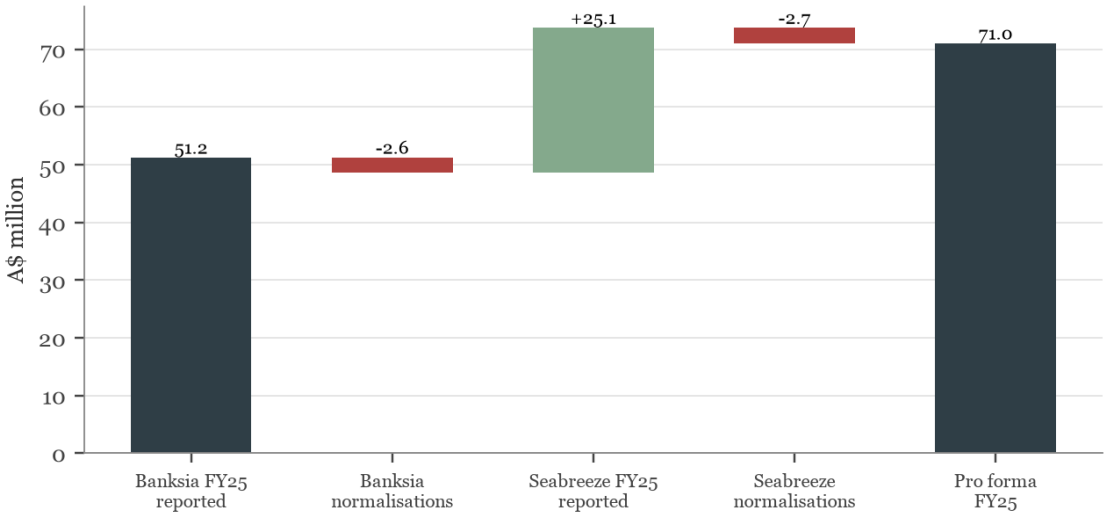


Figure 1. EBITDA bridge

2. Net debt and refundable deposits

Proposed senior term loan	A$210.0M
Existing equipment finance	A$18.0M
Cash at completion (estimated)	A$13.2M
Pro forma net debt	A$214.8M
Pro forma net debt / EBITDA	3.03x
Refundable accommodation deposits (RADs), combined	A$412.0M

Table 2. Pro forma net debt

Refundable accommodation deposits are repayable to residents when they leave, usually within 14 days. Over FY23 to FY25 the Seabreeze homes received more in new deposits than they repaid in every quarter. The largest net quarterly outflow across the combined group in that period was A$6.8M.

3. Matters for lenders

- Seabreeze relied on agency nurses for 11% of care hours in FY25, against 4% at Banksia. Integration savings depend on reducing this.

- Two Seabreeze homes (Toukley and Cessnock) had compliance notices in FY24 that have since been closed.
- Combined interest cover on pro forma figures is about 3.7 times.